December Quarter 2024 Results

February 20, 2025

Alibaba

Disclaimer

This presentation contains certain financial measures that are not recognized under generally accepted accounting principles in the United States ("GAAP"), including adjusted EBITDA (including adjusted EBITDA margin), adjusted EBITA (including adjusted EBITA margin), non-GAAP net income, non-GAAP diluted earnings per share/ADS and free cash flow. For a reconciliation of these non-GAAP financial measures to the most directly comparable GAAP measures, see GAAP to Non-GAAP Measures Reconciliation, GAAP to Non-GAAP Net Income Attributable to Ordinary Shareholders and the slides presenting revenue and EBITA by segments. This presentation contains forward-looking statements. These statements are made under the "safe harbor" provisions of the U.S. Private Securities Litigation Reform Act of 1995. These forward-looking statements can be identified by terminology such as "may," "will," "expect," "anticipate," "future," "aim," "estimate," "intend," "seek," "plan," "believe," "potential," "continue," "ongoing," "target," "guidance," "is/are likely to" and similar statements. In addition, statements that are not historical facts, including statements about Alibaba Group's new organizational and governance structure, Alibaba's strategies and business and operational plans, Alibaba's beliefs, expectations and guidance regarding the growth of its business, its financial results, return on investments, strategic investments and dispositions and share repurchases, and the business outlook and quotations from management in this presentation, are or contain forward-looking statements. Forward-looking statements involve inherent risks and uncertainties. A number of factors could cause actual results to differ materially from those contained in any forward-looking statement, including but not limited to: the implementation of Alibaba Group's new organizational and governance structure; Alibaba's ability to compete, innovate and maintain or grow its business; risks associated with sustained investments in Alibaba's businesses; risks related to strategic transactions; fluctuations in general economic and business conditions in China and globally; uncertainties arising from competition among countries and geopolitical tensions, including national trade, investment, protectionist or other policies and export control, economic or trade sanctions; changes to our shareholder return initiatives; and assumptions underlying or related to any of the foregoing. Further information regarding these and other risks is included in Alibaba's filings with the U.S. Securities and Exchange Commission and announcements on the website of The Stock Exchange of Hong Kong Limited. All information provided in this presentation is as of the date of this presentation and are based on assumptions that we believe to be reasonable as of this date, and Alibaba does not undertake any obligation to update any forward-looking statement, except as required under applicable law.

Business and Financial Highlights

Total Revenue

RMB280.2 Bn, +8% YoY

(US$38.4 Bn)

Adjusted EBITA

RMB54.9 Bn, +4% YoY

(US$7.5 Bn)

Net Cash Position[1]

As of Dec 31, 2024

RMB378.5 Bn

(US$51.9 Bn)

- **On Taobao and Tmall businesses,** CMR growth accelerated to **9%** year-over-year, driven by growth in online GMV and improved monetization.
- **Cloud** revenue growth accelerated to **double digits** at **13%** year-over-year, with AI-related product revenue achieving **triple-digit** growth for the **sixth** consecutive quarter.
- **AIDC** maintained its rapid growth momentum, primarily driven by strong cross-border business performance.
- Other businesses continued to improve operating efficiencies, most of which progressively reduced losses year-over-year.

Note:
(1) Including cash and cash equivalents, short-term investments and other treasury investments less bank borrowings, unsecured senior notes and convertible unsecured senior notes.

Strategic Divestments, Share Repurchases and Senior Notes Offering

- During the quarter, we entered into agreements to dispose all of our interests in (i) Sun Art for up to a maximum of **HK$12.3 billion (US$1.6 billion)** and (ii) Intime for approximately **RMB7.4 billion (US$1 billion)**. These moves reflect our strategic shift to streamline operations and focus on our core businesses.

- During the quarter, we repurchased a total of **119 million** ordinary shares (equivalent to **15 million** ADSs) for a total of **US$1.3 billion**, resulting in a **0.6%** net reduction in our outstanding shares after accounting for shares issued under our ESOP compared to September 30, 2024.

	Three months ended							
	Mar. 31, 2023	Jun. 30, 2023	Sep. 30, 2023	Dec. 31, 2023	Mar. 31, 2024	Jun. 30, 2024	Sep. 30, 2024	Dec. 31, 2024
Repurchase amount (US$Bn)	1.9	3.1	1.7	2.9	4.8	5.8	4.1	1.3
Shares repurchased (Mn ADSs)	22	36	19	37	65	77	52	15
Outstanding shares (Mn ADSs)	2,566	2,549	2,531	2,499	2,434	2,378	2,327	2,315

- We also completed an offering of approximately **US$5 billion** of both U.S. dollar-and RMB-denominated senior unsecured notes in November 2024 to repay offshore debt, repurchase shares and for other general corporate purposes. This transaction enhanced our capital structure and secured extended debt maturities at attractive rates.

Income Statement: Selected Financials

(in RMB Mn, except percentages)	Three months ended December 31, 2023	2024	YoY%	Change YoY	Nine months ended December 31, 2023	2024	YoY%	Change YoY
Income from operations	**22,511**	**41,205**	**83%**	**18,694**	**98,585**	**112,440**	**14%**	**13,855**
Interest and investment income, net	(3,500)	11,146	N/A	14,646	(4,262)	28,275	N/A	32,537
Interest expense	(2,132)	(2,485)	17%	(353)	(5,770)	(7,100)	23%	(1,330)
Other income, net	439	4,588	945%	4,149	3,194	3,367	5%	173
Income before income tax and share of results of equity method investees	**17,318**	**54,454**	**214%**	**37,136**	**91,747**	**136,982**	**49%**	**45,235**
Income tax expenses	(4,988)	(11,149)	124%	(6,161)	(16,807)	(28,591)	70%	(11,784)
Share of results of equity method investees	(1,613)	3,129	N/A	4,742	(4,527)	5,612	N/A	10,139
Net income	**10,717**	**46,434**	**333%**	**35,717**	**70,413**	**114,003**	**62%**	**43,590**
Net income attributable to ordinary shareholders	**14,433**	**48,945**	**239%**	**34,512**	**76,471**	**117,088**	**53%**	**40,617**
Adjustments to reconcile net income to non-GAAP net income:								
Non-cash share-based compensation expense	6,222	3,414	(45)%	(2,808)	11,423	11,189	(2)%	(234)
Amortization and impairment of intangible assets	14,601	2,062	(86)%	(12,539)	19,511	5,503	(72)%	(14,008)
Loss (Gain) on deemed disposals/disposals/revaluation of investments	9,358	(12,954)	N/A	(22,312)	16,665	(21,070)	N/A	(37,735)
Impairment of goodwill and investments, and others	11,149	13,326	20%	2,177	23,022	21,538	(6)%	(1,484)
Tax effects[1]	(4,096)	(1,216)	(70)%	2,880	(7,973)	(2,888)	(64)%	5,085
Non-GAAP net income	**47,951**	**51,066**	**6%**	**3,115**	**133,061**	**128,275**	**(4)%**	**(4,786)**
Non-GAAP net income attributable to ordinary shareholders	**48,257**	**51,349**	**6%**	**3,092**	**133,244**	**128,013**	**(4)%**	**(5,231)**

Note:
(1) Tax effects primarily comprise tax effects relating to non-cash share-based compensation expense, amortization and impairment of intangible assets and certain gains and losses from investments, and others.

Cash Flow & Balance Sheet: Selected Financials

	Three months ended December 31,			Nine months ended December 31,		
	2023	2024		2023	2024	
Cash Flow	RMB Mn	RMB Mn	USD Mn	RMB Mn	RMB Mn	USD Mn
Net cash provided by operating activities	**64,716**	**70,915**	**9,715**	**159,253**	**135,989**	**18,630**
Less:						
Purchase of property and equipment (excluding land use rights and construction in progress relating to office campuses)	(7,286)	(31,369)	(4,297)	(17,405)	(60,285)	(8,259)
Purchase of intangible assets (excluding those acquired through acquisitions)	(842)	-	-	(842)	-	-
Changes in the buyer protection fund deposits	(48)	(526)	(72)	(157)	(5,577)	(764)
Free cash flow	**56,540**	**39,020**	**5,346**	**140,849**	**70,127**	**9,607**
Net cash outflow relating to capital expenditure	**(8,857)**	**(31,775)**	**(4,353)**	**(20,934)**	**(61,360)**	**(8,406)**
Net cash (outflow) inflow from investment and acquisition activities[1]	**(1,500)**	**(1,864)**	**(255)**	**3,289**	**(1,162)**	**(159)**
Share Repurchase	**(20,706)**	**(9,189)**	**(1,259)**	**(54,731)**	**(82,078)**	**(11,245)**

	As of Mar 31,	As of December 31,	
	2024	2024	
Balance Sheet	RMB Mn	RMB Mn	USD Mn
Cash balance[2]	**617,230**	**610,041**	**83,575**
Less:			
Current and non-current bank borrowings	(68,435)	(72,414)	(9,921)
Current and non-current unsecured senior notes	(102,341)	(123,070)	(16,860)
Non-current convertible unsecured senior notes	-	(36,044)	(4,938)
Net cash position	**446,454**	**378,513**	**51,856**

Notes:
(1) Net cash (outflow) inflow from investment and acquisition activities represent cash outflow for investment and acquisition activities, net of cash inflow from disposal of investments.
(2) Including cash and cash equivalents, short-term investments and other treasury investments.

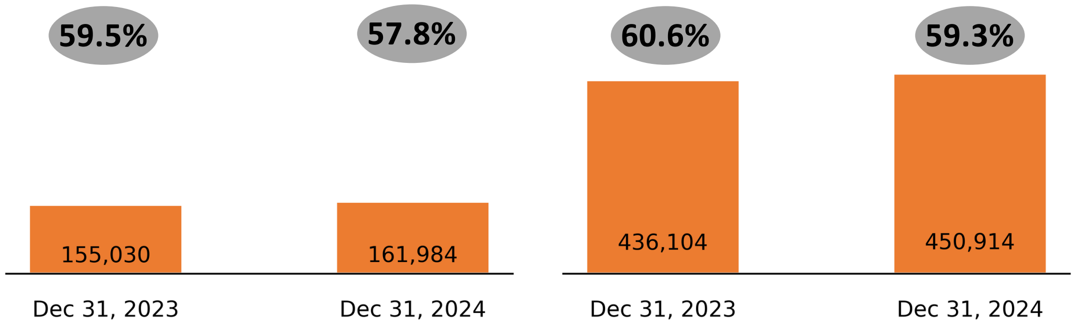
Cost of Revenue and Operating Expenses

Cost of Revenue (excluding SBC)

(RMB Mn)

Three months ended **Nine months ended**

% of Revenue

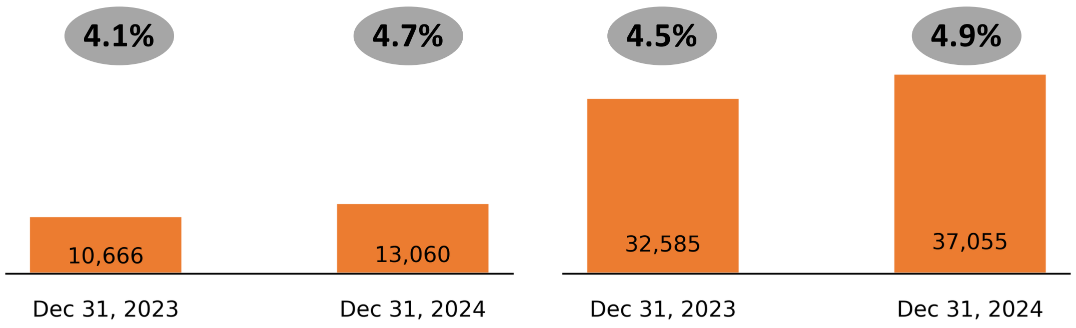


Product Development Expenses (excluding SBC)

(RMB Mn)

Three months ended **Nine months ended**

% of Revenue

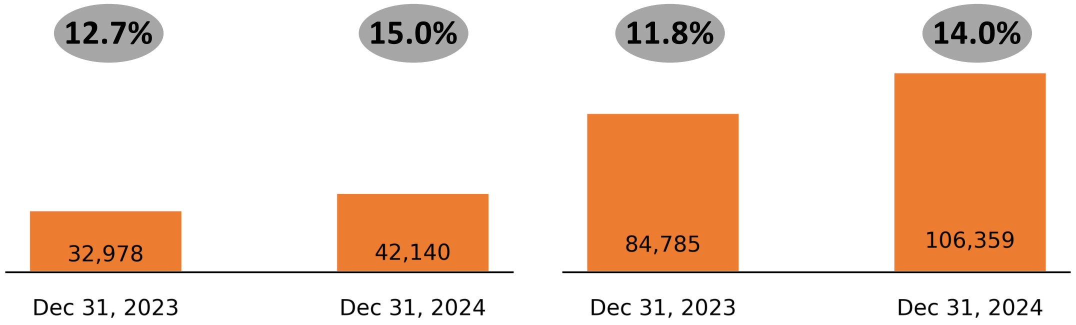


Sales & Marketing Expenses (excluding SBC)

(RMB Mn)

Three months ended **Nine months ended**

% of Revenue

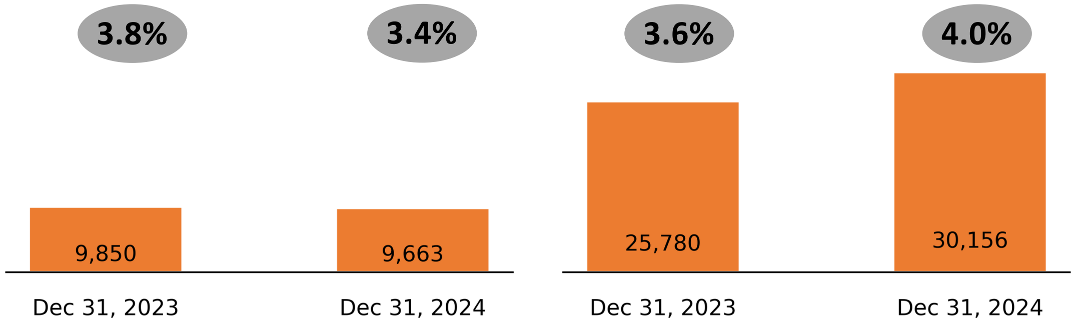


General & Administrative Expenses (excluding SBC)

(RMB Mn)

Three months ended **Nine months ended**

% of Revenue



Segment Results: Quarter ended December 31

(in RMB Mn, except percentages)	Taobao and Tmall Group	Alibaba International Digital Commerce Group	Cloud Intelligence Group	Cainiao Smart Logistics Network Limited	Local Services Group	Digital Media and Entertainment Group	All Others[1]	Unallocated	Inter-segment elimination	Consolidated
	Three months ended December 31, 2024									
Revenue	**136,091**	**37,756**	**31,742**	**28,241**	**16,988**	**5,438**	**53,102**	**590**	**(29,794)**	**280,154**
Revenue YoY%	5%	32%	13%	(1)%	12%	8%	13%			8%
Adjusted EBITA	**61,083**	**(4,952)**	**3,138**	**235**	**(596)**	**(309)**	**(3,156)**	**(165)**	**(425)**	**54,853**
Adjusted EBITA YoY Change	1,153	(1,806)	774	(726)	1,472	208	16	643	276	2,010
Adjusted EBITA YoY%[2]	2%	(57)%	33%	(76)%	71%	40%	1%			4%

(in RMB Mn)	Taobao and Tmall Group	Alibaba International Digital Commerce Group	Cloud Intelligence Group	Cainiao Smart Logistics Network Limited	Local Services Group	Digital Media and Entertainment Group	All Others[1]	Unallocated	Inter-segment elimination	Consolidated
	Three months ended December 31, 2023									
Revenue	**129,070**	**28,516**	**28,066**	**28,476**	**15,160**	**5,040**	**47,023**	**374**	**(21,377)**	**260,348**
Adjusted EBITA	**59,930**	**(3,146)**	**2,364**	**961**	**(2,068)**	**(517)**	**(3,172)**	**(808)**	**(701)**	**52,843**

Notes:
(1) All others include Sun Art, Freshippo, Alibaba Health, Lingxi Games, Intime, Intelligent Information Platform (which mainly consists of UCWeb and Quark businesses), Fliggy, DingTalk and other businesses. The majority of revenue within All others consists of direct sales revenue, which is recorded on a gross basis.
(2) For a more intuitive presentation, widening of loss in YoY% is shown in terms of negative growth rate, and narrowing of loss in YoY% is shown in terms of positive growth rate.

Business Highlights

During the quarter, our customer management revenue grew 9% year-over-year to RMB100,790 million (US$13,808 million), driven by the growth in online GMV and improvement of take rate year-over-year. Our take rate benefited from the full-quarter impact of the software service fee and increasing adoption of Quanzhantui.

We increased efforts to grow our user base and continued to invest in strategic initiatives such as price-competitive products, customer service, membership program benefits and technology to enhance user experience. These efforts led to strong growth year-over-year in new consumers and orders.

On the merchant end, we focused on improving their operating environment and enhancing efficiency. To ensure merchants' sustainable development on our platform, we announced a series of merchant-friendly measures on January 20, 2025. In addition, Quanzhantui saw steady increase in merchant adoption, especially among small and medium-sized ones who benefit through its convenience of use and improvement of marketing efficiency.

The number of 88VIP members, our highest spending consumer group, continued to increase by double digits year-over-year, reaching 49 million during the quarter. We will continue to grow the subscription of 88VIP membership by providing attractive benefits and premium services.

China Commerce Retail Revenue

- **Revenue from our China commerce retail business** in the quarter ended December 31, 2024 was **RMB129,516 million (US$17,743 million)**, an increase of **5%** compared to RMB123,762 million in the same quarter of 2023.
- **Customer management revenue** increased by **9%** year-over-year, primarily driven by the growth in online GMV and improvement of take rate year-over-year.
- **Direct sales and others revenue** under China commerce retail business in the quarter ended December 31, 2024 was **RMB28,726 million (US$3,935 million)**, a decrease of **9%** compared to RMB31,649 million in the same quarter of 2023, primarily attributable to our planned reduction of certain direct sales businesses.

China Commerce Wholesale Revenue

- **Revenue from our China commerce wholesale business** in the quarter ended December 31, 2024 was **RMB6,575 million (US$901 million)**, an increase of **24%** compared to RMB5,308 million in the same quarter of 2023, primarily due to an increase in revenue from value-added services provided to paying members.

Segment Adjusted EBITA

- **Taobao and Tmall Group adjusted EBITA** increased by **2%** to **RMB61,083 million (US$8,368 million)** in the quarter ended December 31, 2024, compared to RMB59,930 million in the same quarter of 2023, primarily due to the increase in revenue from customer management service, partly offset by the increase in investment in user experience.

	Three months ended December 31,		
(in RMB Mn, except percentages)	2023	2024	YoY %
Customer management	92,113	100,790	9%
Direct sales and others	31,649	28,726	(9)%
China commerce wholesale	5,308	6,575	24%
Revenue	**129,070**	**136,091**	**5%**
Adj. EBITA	**59,930**	**61,083**	**2%**

Alibaba International Digital Commerce Group ("AIDC")

Business Highlights

For the quarter ended December 31, 2024, revenue from AIDC grew 32% year-over-year to RMB37,756 million (US$5,173 million), primarily driven by strong performance of cross-border businesses. AIDC increased investments during overseas shopping festivals quarter-over-quarter, and continued to invest in select European markets and the Gulf region to acquire users, which resulted in increased losses. However, the unit economics of the AliExpress' *Choice* business improved on a sequential basis.

The AliExpress platform continued to enrich its product offerings and diversify its business models to meet the needs of local consumers. During the quarter, we announced a plan to form a joint venture with Shinsegae in South Korea, which will operate AliExpress Korea and Gmarket to better serve consumers in South Korea and enhance our competitiveness.

International Commerce Retail Revenue

- **Revenue from our International commerce retail business** in the quarter ended December 31, 2024 was **RMB31,553 million (US$4,323 million)**, an increase of **36%** compared to RMB23,260 million in the same quarter of 2023, primarily driven by the increase in revenue contributed by AliExpress and Trendyol.

International Commerce Wholesale Revenue

- **Revenue from our International commerce wholesale business** in the quarter ended December 31, 2024 was **RMB6,203 million (US$850 million)**, an increase of **18%** compared to RMB5,256 million in the same quarter of 2023, primarily due to an increase in revenue generated by cross-border related value-added services.

Segment Adjusted EBITA

- **Alibaba International Digital Commerce Group adjusted EBITA** was a loss of **RMB4,952 million (US$678 million)** in the quarter ended December 31, 2024, compared to a loss of RMB3,146 million in the same quarter of 2023, primarily due to the increase in investments in Trendyol's cross-border businesses and AliExpress, partly offset by Lazada's significant reduction in operating losses due to its improvement in monetization and operating efficiency, as well as improvements in profitability of Trendyol's domestic businesses.

	Three months ended December 31,		
(in RMB Mn, except percentages)	**2023**	**2024**	**YoY %**
International commerce retail	23,260	31,553	36%
International commerce wholesale	5,256	6,203	18%
Revenue	**28,516**	**37,756**	**32%**
Adj. EBITA	**(3,146)**	**(4,952)**	**(57)%**

Business Highlights

For the quarter ended December 31, 2024, revenue from Cloud Intelligence Group was RMB31,742 million (US$4,349 million), an increase of 13% year-over-year.

During this quarter, overall revenue excluding Alibaba-consolidated subsidiaries achieved double-digit year-over-year growth of 11%. This momentum was primarily driven by double-digit public cloud revenue growth, including the growing adoption of AI-related products. Notably, AI-related product revenue maintained triple-digit year-over-year growth for the sixth consecutive quarter. We will continue to invest in anticipation of customer growth and technology innovation, particularly in AI infrastructure, to increase cloud adoption for AI and maintain our market leadership.

Alibaba Cloud has gained notable recognition as the cloud service provider of choice for public cloud products. Alibaba Cloud has been named a Leader in the 2024 Gartner® Magic Quadrant™ for both Cloud Database Management Systems and Container Management as the only Chinese company consecutively. In The Forrester Wave™: Public Cloud Platforms Q4 2024 report, Alibaba was also named a leader as the only Chinese vendor.

We remain committed to advancing multi-modal AI technology and expanding our open-source initiatives. In January 2025, we open-sourced Qwen2.5-VL, our next-generation multi-modal model, and launched our flagship MoE-based model Qwen2.5-Max. Both models deliver globally leading results across recognized benchmarks and are available to users and enterprises through Qwen Chat and our Bailian platform. Since August 2023, we have open-sourced various large models under the Qwen family. As of January 31, 2025, more than 90,000 derivative models had been developed on Hugging Face based on the Qwen family of models, making it one of the largest AI model families worldwide.

Segment Revenue

- **Revenue from Cloud Intelligence Group** was **RMB31,742 million (US$4,349 million)** in the quarter ended December 31, 2024, an increase of **13%** compared to RMB28,066 million in the same quarter of 2023. Overall revenue excluding Alibaba-consolidated subsidiaries increased by 11% year-over-year, mainly driven by the double-digit revenue growth of public cloud products including AI-related products.

Segment Adjusted EBITA

- **Cloud Intelligence Group adjusted EBITA** increased by **33%** to **RMB3,138 million (US$430 million)** in the quarter ended December 31, 2024, compared to RMB2,364 million in the same quarter of 2023, primarily due to shift in product mix toward higher-margin public cloud products and improving operating efficiency, partly offset by the increasing investments in customer growth and technology.

	Three months ended December 31,		
(in RMB Mn, except percentages)	**2023**	**2024**	**YoY %**
Revenue	**28,066**	**31,742**	**13%**
Adj. EBITA	**2,364**	**3,138**	**33%**

Cainiao Smart Logistics Network Limited ("Cainiao")

Business Highlights

For the quarter ended December 31, 2024, revenue of Cainiao was RMB28,241 million (US$3,869 million), a decrease of 1% year-over-year. This is the result of ongoing restructurings with our e-commerce businesses taking on certain logistics platform role. Cainiao will continue to focus on building its global smart logistics network and make its end-to-end logistics capabilities available to our own e-commerce businesses as well as third parties.

Segment Revenue

- **Revenue from Cainiao Smart Logistics Network Limited** was **RMB28,241 million (US$3,869 million)** in the quarter ended December 31, 2024, a decrease of **1%** compared to RMB28,476 million in the same quarter of 2023.

Segment Adjusted EBITA

- **Cainiao Smart Logistics Network Limited adjusted EBITA** decreased by **76%** to **RMB235 million (US$32 million)** in the quarter ended December 31, 2024, compared to RMB961 million in the same quarter of 2023, primarily due to the decrease in profits from cross-border fulfilment solutions and domestic logistics services.

	Three months ended December 31,		
(in RMB Mn, except percentages)	**2023**	**2024**	**YoY %**
Revenue	**28,476**	**28,241**	**(1)%**
Adj. EBITA	**961**	**235**	**(76)%**

Ele.me Amap

Alibaba

Business Highlights

For the quarter ended December 31, 2024, revenue from Local Services Group grew 12% year-over-year to RMB16,988 million (US$2,327 million), driven by the combined order growth of Amap and Ele.me, as well as revenue growth from marketing services.

During this quarter, Local Services Group's losses significantly narrowed year-over-year as unit economics improved due to operating efficiency and as scale increased.

Segment Revenue

- **Revenue from Local Services Group** was **RMB16,988 million (US$2,327 million)** in the quarter ended December 31, 2024, an increase of **12%** compared to RMB15,160 million in the same quarter of 2023, driven by the order growth of both Amap and Ele.me, as well as revenue growth from marketing services.

Segment Adjusted EBITA

- **Local Services Group adjusted EBITA** was a loss of **RMB596 million (US$82 million)** in the quarter ended December 31, 2024, compared to a loss of RMB2,068 million in the same quarter of 2023, as unit economics improved due to operating efficiency and as scale increased.

	Three months ended December 31,		
(in RMB Mn, except percentages)	2023	2024	YoY %
Revenue	15,160	16,988	12%
Adj. EBITA	(2,068)	(596)	71%

Digital Media and Entertainment Group

Youku

Business Highlights

For the quarter ended December 31, 2024, revenue of Digital Media and Entertainment Group was RMB5,438 million (US$745 million), an increase of 8% year-over-year, primarily driven by the increase in Youku's advertising revenue.

Loss of Digital Media and Entertainment Group continued to narrow year-over-year, primarily due to Youku's reducing operating loss as a result of increased advertising revenue as well as improved content investment efficiency during the quarter.

Segment Revenue

- **Revenue from Digital Media and Entertainment Group** was **RMB5,438 million (US$745 million)** in the quarter ended December 31, 2024, an increase of **8%** compared to RMB5,040 million in the same quarter of 2023.

Segment Adjusted EBITA

- **Digital Media and Entertainment Group adjusted EBITA** in the quarter ended December 31, 2024 was a loss of **RMB309 million (US$42 million)**, compared to a loss of RMB517 million in the same quarter of 2023.

	Three months ended December 31,		
(in RMB Mn, except percentages)	**2023**	**2024**	**YoY %**
Revenue	**5,040**	**5,438**	**8%**
Adj. EBITA	**(517)**	**(309)**	**40%**

All Others

DingTalk Quark Fliggy Alibaba Health FRESHIPPO UC浏览器

Alibaba

Segment Revenue

- **Revenue from All others segment** was **RMB53,102 million (US$7,275 million)** in the quarter ended December 31, 2024, an increase of **13%** compared to RMB47,023 million in the same quarter of 2023, mainly due to the increase in revenue from retail businesses including Freshippo and Alibaba Health.

Segment Adjusted EBITA

- **Adjusted EBITA from All others segment** in the quarter ended December 31, 2024 was a loss of **RMB3,156 million (US$432 million)**, compared to a loss of RMB3,172 million in the same quarter of 2023, primarily due to improved operating results from Sun Art and Freshippo, partly offset by the increased investment in technology businesses.

	Three months ended December 31,		
(in RMB Mn, except percentages)	2023	2024	YoY %
Revenue	47,023	53,102	13%
Adj. EBITA	(3,172)	(3,156)	1%

Appendix

Segment Results: Nine months ended December 31

	Nine months ended December 31, 2024									
(in RMB Mn, except percentages)	Taobao and Tmall Group	Alibaba International Digital Commerce Group	Cloud Intelligence Group	Cainiao Smart Logistics Network Limited	Local Services Group	Digital Media and Entertainment Group	All Others[1]	Unallocated	Inter-segment elimination	Consolidated
Revenue	**348,458**	**98,721**	**87,901**	**79,699**	**50,942**	**16,713**	**152,281**	**1,478**	**(76,300)**	**759,893**
Revenue YoY%	2%	31%	9%	7%	13%	3%	8%			6%
Adjusted EBITA	**154,483**	**(11,563)**	**8,136**	**908**	**(1,373)**	**(590)**	**(6,001)**	**(2,307)**	**(1,244)**	**140,449**
Adjusted EBITA YoY Change	(1,843)	(7,613)	3,447	(1,836)	5,241	65	341	983	605	(610)
Adjusted EBITA YoY%[2]	(1)%	(193)%	74%	(67)%	79%	10%	5%			(0)%

	Nine months ended December 31, 2023									
(in RMB Mn)	Taobao and Tmall Group	Alibaba International Digital Commerce Group	Cloud Intelligence Group	Cainiao Smart Logistics Network Limited	Local Services Group	Digital Media and Entertainment Group	All Others[1]	Unallocated	Inter-segment elimination	Consolidated
Revenue	**341,677**	**75,150**	**80,779**	**74,463**	**45,174**	**16,200**	**140,873**	**900**	**(55,922)**	**719,294**
Adjusted EBITA	**156,326**	**(3,950)**	**4,689**	**2,744**	**(6,614)**	**(655)**	**(6,342)**	**(3,290)**	**(1,849)**	**141,059**

Notes:
(1) All others include Sun Art, Freshippo, Alibaba Health, Lingxi Games, Intime, Intelligent Information Platform (which mainly consists of UCWeb and Quark businesses), Fliggy, DingTalk and other businesses. The majority of revenue within All others consists of direct sales revenue, which is recorded on a gross basis.
(2) For a more intuitive presentation, widening of loss in YoY% is shown in terms of negative growth rate, and narrowing of loss in YoY% is shown in terms of positive growth rate.

Financial Highlights

(in RMB Mn, except per share data and percentages)	Three months ended December 31, 2023	2024	YoY%	Nine months ended December 31, 2023	2024	YoY%
Income from operations	**22,511**	**41,205**	**83%**	**98,585**	**112,440**	**14%**
Non-cash share-based compensation expense	6,222	3,414		11,423	11,189	
Amortization and impairment of intangible assets	14,601	2,062		19,511	5,503	
Impairment of goodwill, and others	9,509	8,172		11,540	11,317	
Net income	**10,717**	**46,434**	333%	**70,413**	**114,003**	62%
Diluted earnings per share(1)(2)	**0.71**	**2.55**	261%	**3.72**	**6.04**	63%
Diluted earnings per ADS(1)(2)	**5.65**	**20.39**	261%	**29.73**	**48.33**	63%
Non-GAAP Measures						
Adjusted EBITA	**52,843**	**54,853**	4%	**141,059**	**140,449**	(0)%
Non-GAAP net income	**47,951**	**51,066**	6%	**133,061**	**128,275**	(4)%
Non-GAAP diluted earnings per share(1)(3)	**2.37**	**2.67**	13%	**6.50**	**6.61**	2%
Non-GAAP diluted earnings per ADS(1)(3)	**18.97**	**21.39**	13%	**51.97**	**52.84**	2%

Notes:
(1) Each ADS represents eight ordinary shares.
(2) Diluted earnings per share is derived from dividing net income attributable to ordinary shareholders by the weighted average number of outstanding ordinary shares, on a diluted basis. Diluted earnings per ADS is derived from the diluted earnings per share after adjusting for the ordinary share-to-ADS ratio.
(3) Non-GAAP diluted earnings per share is derived from dividing non-GAAP net income attributable to ordinary shareholders by the weighted average number of outstanding ordinary shares for computing non-GAAP diluted earnings per share, on a diluted basis. Non-GAAP diluted earnings per ADS is derived from the non-GAAP diluted earnings per share after adjusting for the ordinary share-to-ADS ratio.

Revenue Breakdown

(in RMB Mn, except percentages)	Three months ended December 31, 2023	Three months ended December 31, 2024	YoY%	Nine months ended December 31, 2023	Nine months ended December 31, 2024	YoY%
Taobao and Tmall Group	**129,070**	**136,091**	**5%**	**341,677**	**348,458**	**2%**
China commerce retail	123,762	129,516	5%	326,150	329,945	1%
- Customer management	92,113	100,790	9%	240,435	251,269	5%
- Direct sales and others[(1)]	31,649	28,726	(9)%	85,715	78,676	(8)%
China commerce wholesale	5,308	6,575	24%	15,527	18,513	19%
Alibaba International Digital Commerce Group	**28,516**	**37,756**	**32%**	**75,150**	**98,721**	**31%**
International commerce retail	23,260	31,553	36%	59,376	80,862	36%
International commerce wholesale	5,256	6,203	18%	15,774	17,859	13%
Cloud Intelligence Group	28,066	31,742	13%	80,779	87,901	9%
Cainiao Smart Logistics Network Limited	28,476	28,241	(1)%	74,463	79,699	7%
Local Services Group	15,160	16,988	12%	45,174	50,942	13%
Digital Media and Entertainment Group	5,040	5,438	8%	16,200	16,713	3%
All others[(2)]	47,023	53,102	13%	140,873	152,281	8%
Unallocated	374	590		900	1,478	
Inter-segment elimination	(21,377)	(29,794)		(55,922)	(76,300)	
Consolidated revenue	**260,348**	**280,154**	**8%**	**719,294**	**759,893**	**6%**

Notes:
(1) Direct sales and others revenue under Taobao and Tmall Group primarily represents Tmall Supermarket, Tmall Global and other direct sales businesses, where revenue and cost of inventory are recorded on a gross basis.
(2) All others include Sun Art, Freshippo, Alibaba Health, Lingxi Games, Intime, Intelligent Information Platform (which mainly consists of UCWeb and Quark businesses), Fliggy, DingTalk and other businesses. The majority of revenue within All others consists of direct sales revenue, which is recorded on a gross basis.

GAAP to Non-GAAP Measures Reconciliation

	Three months ended December 31,			Nine months ended December 31,		
	2023	2024		2023	2024	
Adjusted EBITA and Adjusted EBITDA	RMB Mn	RMB Mn	USD Mn	RMB Mn	RMB Mn	USD Mn
Income from operations	**22,511**	**41,205**	**5,645**	**98,585**	**112,440**	**15,404**
Non-cash share-based compensation expense	6,222	3,414	468	11,423	11,189	1,533
Amortization and impairment of intangible assets	14,601	2,062	282	19,511	5,503	754
Impairment of goodwill, and others	9,509	8,172	1,120	11,540	11,317	1,550
Adjusted EBITA	**52,843**	**54,853**	**7,515**	**141,059**	**140,449**	**19,241**
Depreciation and impairment of property and equipment, and operating lease cost relating to land use rights	6,729	7,201	986	19,802	20,093	2,753
Adjusted EBITDA	**59,572**	**62,054**	**8,501**	**160,861**	**160,542**	**21,994**
Non-GAAP net income						
Net income	**10,717**	**46,434**	**6,361**	**70,413**	**114,003**	**15,618**
Adjustments to reconcile net income to non-GAAP net income:						
Non-cash share-based compensation expense	6,222	3,414	468	11,423	11,189	1,533
Amortization and impairment of intangible assets	14,601	2,062	282	19,511	5,503	754
Loss (Gain) on deemed disposals/disposals/revaluation of investments	9,358	(12,954)	(1,775)	16,665	(21,070)	(2,886)
Impairment of goodwill and investments, and others	11,149	13,326	1,826	23,022	21,538	2,951
Tax effects[1]	(4,096)	(1,216)	(166)	(7,973)	(2,888)	(396)
Non-GAAP net income	**47,951**	**51,066**	**6,996**	**133,061**	**128,275**	**17,574**
Non-GAAP Free cash flow						
Net cash provided by operating activities	**64,716**	**70,915**	**9,715**	**159,253**	**135,989**	**18,630**
Less:						
Purchase of property and equipment (excluding land use rights and construction in progress relating to office campuses)	(7,286)	(31,369)	(4,297)	(17,405)	(60,285)	(8,259)
Purchase of intangible assets (excluding those acquired through acquisitions)	(842)	-	-	(842)	-	-
Changes in the buyer protection fund deposits	(48)	(526)	(72)	(157)	(5,577)	(764)
Free cash flow	**56,540**	**39,020**	**5,346**	**140,849**	**70,127**	**9,607**

Note:
(1) Tax effects primarily comprise tax effects relating to non-cash share-based compensation expense, amortization and impairment of intangible assets and certain gains and losses from investments, and others.

GAAP to Non-GAAP Net Income Attributable to Ordinary Shareholders

	Three months ended December 31,			Nine months ended December 31,		
	2023	2024		2023	2024	
(in Mn, except per share data)	RMB	RMB	USD	RMB	RMB	USD
Net income attributable to ordinary shareholders – basic	**14,433**	**48,945**	**6,705**	**76,471**	**117,088**	**16,041**
Dilution effect on earnings arising from non-cash share-based awards operated by equity method investees and subsidiaries	(79)	(87)	(12)	(213)	(218)	(30)
Adjustments for interest expense attributable to convertible unsecured senior notes	-	70	10	-	165	23
Net income attributable to ordinary shareholders – diluted	14,354	48,928	6,703	76,258	117,035	16,034
Non-GAAP adjustments to net income attributable to ordinary shareholders[1]	33,824	2,404	329	56,773	10,925	1,496
Non-GAAP net income attributable to ordinary shareholders for computing non-GAAP diluted earnings per share/ADS	**48,178**	**51,332**	**7,032**	**133,031**	**127,960**	**17,530**
Weighted average number of shares on a diluted basis for computing non-GAAP diluted earnings per share/ADS (million shares)[2]	**20,321**	**19,200**		**20,485**	**19,372**	
Diluted earnings per share[2][3]	**0.71**	**2.55**	**0.35**	**3.72**	**6.04**	**0.83**
Non-GAAP diluted earnings per share[2][4]	**2.37**	**2.67**	**0.37**	**6.50**	**6.61**	**0.91**
Diluted earnings per ADS[2][3]	**5.65**	**20.39**	**2.79**	**29.73**	**48.33**	**6.62**
Non-GAAP diluted earnings per ADS[2][4]	**18.97**	**21.39**	**2.93**	**51.97**	**52.84**	**7.24**

Notes:
(1) Non-GAAP adjustments excluding the attributions to the noncontrolling interests. See the table above for items regarding the reconciliation of net income to non-GAAP net income (before excluding the attributions to the noncontrolling interests).
(2) Each ADS represents eight ordinary shares.
(3) Diluted earnings per share is derived from dividing net income attributable to ordinary shareholders by the weighted average number of outstanding ordinary shares, on a diluted basis. Diluted earnings per ADS is derived from the diluted earnings per share after adjusting for the ordinary share-to-ADS ratio.
(4) Non-GAAP diluted earnings per share is derived from dividing non-GAAP net income attributable to ordinary shareholders by the weighted average number of outstanding ordinary shares for computing non-GAAP diluted earnings per share, on a diluted basis. Non-GAAP diluted earnings per ADS is derived from the non-GAAP diluted earnings per share after adjusting for the ordinary share-to-ADS ratio.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